



Additional Financing Appraisal Environmental and Social Review Summary

Appraisal Stage

(AF ESRS Appraisal Stage)

Date Prepared/Updated: 02/24/2026 | Report No: ESRSAFA1320

**I. BASIC INFORMATION****A. Basic Operation Data**

Operation ID	Product	Operation Acronym	Approval Fiscal Year
P173373	Investment Project Financing (IPF)	Digital Rwanda	2022
Operation Name	Digital Acceleration Project		
Country/Region Code	Beneficiary country/countries (borrower, recipient)	Region	Practice Area (Lead)
Rwanda	Rwanda	EASTERN AND SOUTHERN AFRICA	Digital Development
Borrower(s)	Implementing Agency(ies)	Estimated Appraisal Date	Estimated Board Date
Republic of Rwanda	Development Bank of Rwanda, National Identification Agency (NIDA), Rwanda Information Society Authority	18-Mar-2026	31-Mar-2026
Estimated Decision Review Date	Total Project Cost		
17-Mar-2026	220,000,000.00		

Proposed Development Objective

To increase access to broadband and selected digital public services, and strengthen the digital innovation ecosystem

B. Is the operation being prepared in a Situation of Urgent Need of Assistance or Capacity Constraints, as per Bank IPF Policy, para. 12?

No

C. Summary Description of Proposed Project Activities

Rwanda is a small, low income, landlocked country, characterized by a predominantly rural population. The country is densely populated, with approximately 12 million people living in a total area of 26,338 km². Rwanda's population is young (60 percent are under the age of 25) and increasingly urban, though the vast majority of Rwandans (82 percent) continue to reside in rural areas and remain dependent on agriculture, which continues to employ approximately 61 percent of the population. Boosting productivity in traditional sectors, supporting economic diversification and wider off-farm job creation have thus emerged as key government priorities, where digital adoption and innovation is expected to play a major role. The Government of Rwanda (GoR) has distinguished itself as one of the continent's most



ardent champions of the digital agenda, with sizable public investments made in digital infrastructure and public e-services expansion. Rwanda is a regional frontrunner in the global United Nations E-government Development Index (EDGI) and heralded as a 'proof of concept' country for adopting cutting-edge technologies such as drones for last-mile medical care provision or robotics for Covid-19 screening. Beginning as early as 2002, Rwanda began charting an ambitious course for achieving rapid digitization through a series of five-year national ICT strategies. This agenda is spearheaded by the GoR's leadership at the highest level and led by the Ministry of Innovation and ICT (MINICT) and implemented by the Rwanda Information Society Authority (RISA) by leveraging recently established network of Chief Digital Officers (CDOs) appointed to lead sectoral digital transformation efforts at ministries and affiliated agencies. While substantial progress has been made so far, Rwanda still has a long way to go in terms of accelerating digital transformation and development of an advanced digital economy. Key challenges include:

- Need to improve digital adoption and inclusion, starting with wider access to broadband: Existing 3G and 4G networks remain underutilized, pointing to slow growth on the demand-side, which in turn stifles further investments in infrastructure and e-services expansion. Official figures put internet penetration at 60.4 percent. Yet, most existing internet users (43.2 percent) are still using low-quality 2G services, yielding a modest 3G (13.7 percent) and 4G (3.4 percent) mobile broadband user-base. Device affordability and weak basic digital literacy also represent major bottlenecks to digital adoption. While a majority (67 percent) of households own mobile phones, these are predominately basic feature phones that subsequently prevent usage of mobile broadband (3G and above). National digital literacy stands at only 20 percent, whereas reported computer literacy is a mere 9 percent.
- Need to enhance Government's ability to introduce fully transactional digital public services: Covid-19 pandemic demonstrated the need to develop solutions that allow the government to function effectively and continue providing services to citizens remotely, without requiring face-to-face interactions. Although the Government's online one-stop-shop platform for e-services, Irembo, currently provides access to almost 100 citizen-facing e-services, most still require some form of physical processing of the paperwork or proofing the identity in a face-to-face setting. Rwanda therefore needs to enhance the number and quality of digital services offered by both public and private sectors while building a more secure online trust environment, supported by enhanced cybersecurity and data protection capabilities to reduce vulnerabilities and risks.
- Need to improve access and quality of digital innovation ecosystem support services: Rwanda boasts one of the most favorable business environments on the continent. Yet, the country lacks growth of digital innovation and digital businesses at scale. While a handful of successful digital startups have emerged, including success stories like Zipline, most startups have a high fail rate, limiting their potential for providing a meaningful contribution to productivity gains, e-services expansion and job creation. Though Kigali is home to a growing community of ESO, the ecosystem remains uncoordinated and primarily focused on pre-incubation, with limited international linkages and inadequate access to early-stage financing. Moreover, Rwanda lacks the requisite level of advanced and highly specialized digital skills needed to propel cross-sectoral digital transformation. The proposed project aims to accelerate country-wide digital transformation focusing on critical digital enablers that "future-proof" economic growth and build on digital foundations in place. Based on the findings and recommendations of the Rwanda DE4A diagnostics conducted, project activities seek to expand digital adoption, by spearheading a series of innovative digital access and inclusion initiatives. The project will also enhance Government's digital service capabilities, equipping GoR with the ability to harness the power of big data and scale e-services based on shared digital standards, platforms, and infrastructure. Finally, the project will increase Rwanda's capacity to support digitally enabled innovation, by strengthening the local entrepreneurship ecosystem, supporting tech firms to move from startups to growth and by developing Rwanda's digital talent base. The project has been designed around four integrated and mutually reinforcing components, which span the foundational pillars of the digital economy, but also support the overall goal of creating digitally-enabled citizens, businesses, and government:

Component 1: Digital Access and Inclusion (\$60.5M): This component which will focus on creating digitally enabled



citizens, has four sub-components that include; (i) Access to affordable smart devices; (ii) Digital Literacy for All; (iii) Last-mile connectivity and access; and (iv) Legal, regulatory and institutional capacity for broadband market development. • Component 2: Digital public service delivery (\$100M). This component aims at creating a digitally enabled government, as well as creating entry points for private sector innovation through four sub-components namely; (i) Digital identification, authentication and trust services; (ii) Government data management, analysis and sharing; (iii) e-Services in key sectors and (iv) Cyber security resilience and data protection. • Component 3: Digital Innovation and Entrepreneurship (\$29.5M) This component will seek to support digitally enabled businesses and has two sub-components that include; (i) Regional digital entrepreneurship hub; and (ii) Next-generation capabilities for the digital economy. • Component 4: Project Management and Institutional Coordination (\$10M): This component will finance project management and coordination, including fiduciary and environmental and social safeguards management. This will include funding consultancy support for the implementation of the project and the institutional strengthening of implementing agencies. The Project directly supports key FY21-25 Country Partnership Framework (CPF) objectives, which are adapted to Rwanda's COVID-19 pandemic response and recovery, and aimed at boosting resilience. In particular, it is aligned with Objective 3, focused on 'expanding access to infrastructure and the digital economy'.

D. Environmental and Social Overview

D.1 Overview of Environmental and Social Project Settings

The Digital Acceleration Project, including the Additional Financing (AF), has a nationwide geographic scope covering both rural and urban areas. The AF does not change the project's footprint, which remains countrywide. Project interventions will be implemented across diverse environmental and social settings, including densely populated rural areas, secondary cities, and Kigali. Activities under Component 1, such as device affordability and digital literacy initiatives, will be national in scale. Last-mile connectivity investments will prioritize underserved and unconnected areas, which are expected to be predominantly rural, based on mapping of broadband coverage, demand, and investment gaps. Connectivity improvements will target public institutions including schools, health facilities, and local government offices down to the cell level, Rwanda's smallest administrative unit. Component 2 will enhance government digital service delivery systems nationwide, with some centralized data collection and processing infrastructure likely located in Kigali within existing public facilities. Component 3 will strengthen the digital entrepreneurship ecosystem, primarily supporting facilities in Kigali while expanding outreach and training programs across all provinces, including the scaling up of coding and innovation programs.

The project primarily finances digital systems and equipment and relies largely on existing infrastructure and facilities. Large-scale civil works, significant land transformation, or major new construction are not anticipated. Connectivity expansion may involve small-scale, site-specific works such as laying fiber optic cables along existing rights-of-way, installing wireless equipment within existing buildings, mounting rooftop antennas, or constructing a limited number of small telecommunications structures where necessary. Rehabilitation or retrofitting of existing facilities may also occur. These activities are expected to generate localized, short-term impacts that are manageable through standard mitigation measures.

Key environmental considerations include the generation of electronic waste (e-waste) associated with the procurement and eventual replacement of digital devices and network equipment. Improper disposal of electronic equipment could pose pollution risks due to hazardous components. The project addresses this risk through the integration of e-waste management measures, including support for collection and recycling systems, incorporation of recycling clauses in procurement contracts, and promotion of energy-efficient equipment to reduce electricity



consumption and associated emissions. Where feasible, renewable energy solutions such as solar power will be encouraged for digital infrastructure to reduce the carbon footprint.

Limited civil works associated with connectivity improvements may pose standard occupational health and safety risks to workers, such as working at heights and handling electrical equipment, as well as minor community health and safety impacts including dust, noise, and temporary traffic disruptions. These impacts are expected to be short-term and reversible. They will be managed through site-specific Environmental and Social Management Plans) consistent with Good International Industry Practice and the World Bank Group Environmental, Health and Safety Guidelines. Given Rwanda's terrain and ecological sensitivity, subprojects will be screened to avoid protected areas, critical habitats, and erosion-prone zones, and to minimize vegetation clearance and earthworks. The project does not anticipate significant land acquisition; most installations will occur on government-owned land or within existing public premises. Any minor land requirements will follow agreed procedures to avoid or minimize involuntary resettlement impacts.

From a social perspective, the project is expected to generate substantial positive impacts by improving digital inclusion, strengthening public service delivery, and expanding economic opportunities. Increased broadband connectivity to schools, health centers, and administrative offices will enhance access to education, health, and government services, particularly in rural and underserved areas. Digital literacy and device affordability initiatives are designed to target low-income households, women, persons with disabilities, refugees, and other vulnerable groups to ensure equitable participation in the digital economy and reduce the urban–rural digital divide.

However, certain social risks require careful management. As public services become increasingly digitized, there is a risk that individuals with limited digital access or literacy such as some rural residents, elderly persons, or persons with disabilities could be excluded if inclusion measures are not adequately implemented. The project addresses this through targeted outreach, inclusive design of digital services, and implementation of a Stakeholder Engagement Plan (SEP) that ensures ongoing consultation and feedback from vulnerable and underserved groups. Another key consideration relates to data protection and privacy. Expansion of digital systems, including national digital identification and centralized data platforms, involves the processing of personal and potentially sensitive information. While Rwanda has established a legal framework for data protection, the project will incorporate privacy-by-design principles, data security safeguards, and oversight mechanisms to mitigate risks associated with large-scale data management.

In Summary, the project will be implemented across varied environmental and social contexts within Rwanda. The anticipated adverse environmental and social impacts are limited in scale, site-specific, and manageable through established mitigation measures under the ESF. The project's development benefits particularly in terms of digital inclusion, service delivery, and economic opportunity are expected to be significant and nationwide.

D.2 Overview of Borrower's Institutional Capacity for Managing Environmental and Social Risks and Impacts

The AF retains the multi-agency implementation arrangement of the parent project. Rwanda Information Society Authority (RISA) serves as the lead implementing agency through a dedicated Single Project Implementation Unit (SPIU), overseeing overall coordination and technical execution. RISA's SPIU works in collaboration with other key entities: the Development Bank of Rwanda (BRD) manages the financial intermediary component for device financing, and the National Identification Agency (NIDA) leads the digital ID subcomponent. Various line ministries and regulators also participate for specific activities (e.g. the Rwanda Utilities Regulatory Authority (RURA) on telecom regulations, sector



ministries for e-services, etc.). This arrangement requires strong inter-agency coordination and clear roles, which have been formalized through the project’s institutional framework.

At project inception, RISA had no prior experience implementing World Bank–financed projects or applying the Bank’s Environmental and Social Framework (ESF). Capacity gaps were identified notably that RISA initially lacked dedicated environmental or social risk management staff. To address this, the Government established the SPIU and hired qualified Environmental and Social Specialists within RISA’s project team. The World Bank provided extensive training and support to familiarize the PIU and partner agencies (like BRD and NIDA) with ESF requirements. As a result, the borrower’s capacity for E&S management has significantly improved during implementation. All required E&S instruments for the parent project – including an Environmental and Social Management Framework (ESMF), Resettlement Policy Framework (RPF), Labor Management Procedures (LMP), Stakeholder Engagement Plan (SEP), and Environmental and Social Commitment Plan (ESCP) – were prepared, consulted upon, and publicly disclosed prior to project approval. These instruments continue to guide AF activities (ESCP and SEP updated), ensuring that E&S risks are identified and mitigated in line with the ESF.

RISA’s SPIU now has full-time E&S staff (one Environmental Specialist and one Social Specialist) in place. The SPIU has established an effective Grievance Redress Mechanism (GRM), and as of the latest quarterly report, no serious grievances have been recorded from project affected people. Stakeholder engagement is active and continuous for example; RISA holds regular consultations with communities and stakeholders to gather feedback on digital services and address concerns. At the mid-point of implementation, the project’s E&S performance was rated Satisfactory, with the Environmental & Social risk rating maintained at Moderate. Quarterly E&S progress reports are submitted on time by RISA, documenting compliance with the ESCP, GRM logs, stakeholder engagement activities, e-waste management, and labor conditions. These reports allow the Bank and borrower to monitor E&S performance closely and adapt management measures as needed. BRD and NIDA are also integrated into the Project’s E&S framework; for instance, BRD’s involvement triggers requirements under ESS9 (Financial Intermediaries). BRD already has a functional Environmental and Social Management System (ESMS) in place to identify, assess, manage, and monitor environmental and social risks and impacts of financial intermediary activities in accordance with ESS9 requirements, and the project ensures that BRD applies appropriate environmental and social risk management procedures for the smartphone financing program (e.g. screening of partner lending institutions and assuring compliance with the ESMF/ESCP). Overall, the borrower has demonstrated ownership and responsiveness in managing E&S aspects, though the AF’s expanded scope will necessitate continued support and supervision to sustain this capacity at both national and district levels.

II. SUMMARY OF ENVIRONMENTAL AND SOCIAL (ES) RISKS AND IMPACTS

A. Environmental and Social Risk Classification (ESRC) Moderate

A.1 Environmental Risk Rating Moderate

The Environmental Risk Rating for the Additional Financing (AF) remains Moderate, consistent with the parent project. This reflects the limited scale and site-specific nature of anticipated environmental impacts, which are expected to be temporary, reversible, and manageable through established mitigation measures under the ESF. Project interventions under the AF primarily involve modest infrastructure upgrades and installation of digital and



communications equipment within existing facilities. Activities include equipping public institutions with ICT hardware, extending fiber-optic cables along existing rights-of-way, and installing networking equipment. The project does not finance large-scale construction, significant land transformation, or activities with substantial environmental footprints. Most works will take place within existing buildings or on previously used land. Where minor civil works are required, potential impacts such as dust, noise, small quantities of construction waste, and OHS risks to workers are expected to be localized and short-term. These impacts will be addressed through site-specific ESMPs, incorporating Good International Industry Practice and the World Bank Group Environmental, Health and Safety (EHS) Guidelines. Mitigation measures include appropriate waste handling, dust and noise control, traffic management where relevant, and enforcement of worker health and safety protocols, including personal protective equipment and training. A key environmental risk relates to the generation and management of electronic waste (e-waste). The distribution of digital devices and upgrading of ICT systems will result in end-of-life equipment such as computers, networking hardware, batteries, and electronic components. If improperly handled, e-waste may pollute soil or water. To mitigate this risk, the project incorporates a comprehensive e-waste management approach consistent with national regulations and ESS3 on resource efficiency and pollution prevention. Measures include strengthening e-waste collection and recycling systems, awareness programs on safe disposal, and take-back and recycling clauses in procurement contracts. Suppliers will be required to collect obsolete equipment and ensure recycling or disposal through licensed facilities. These measures minimize pollution risks and promote environmentally sound management throughout the equipment lifecycle. Scaling up digital infrastructure will also increase electricity consumption, particularly for data systems, network equipment, and device charging. While incremental energy demand is not significant nationally, the project promotes resource efficiency by requiring ICT hardware to meet high energy-efficiency standards. Where feasible, renewable energy solutions such as solar power will be encouraged for ICT installations. These measures reduce greenhouse gas emissions and support climate co-benefits through improved energy performance. The probability of significant or irreversible adverse environmental impacts is considered low. The project does not support activities in environmentally sensitive areas, critical habitats, or protected zones, and the environmental footprint is largely confined to small-scale installations and equipment management. The ESMF provides procedures for environmental screening of subprojects and outlines contingency measures for unforeseen risks. The ESCP ensures mitigation measures, monitoring, and institutional responsibilities are clearly defined and implemented. In summary, environmental risks associated with the AF are limited in scale and duration, and residual impacts are expected to be reversible and readily mitigated through established management measures. On this basis, the Moderate Environmental Risk Rating remains appropriate for the AF.

Moderate

A.2 Social Risk Rating

The Social Risk Rating for the Additional Financing (AF) remains Moderate, consistent with the parent project. The project is expected to generate significant positive social impacts through expanded digital inclusion, improved public service delivery, and enhanced economic opportunities. However, manageable risks remain in relation to inclusion, data privacy and cybersecurity, labor management, and limited land requirements. The project will expand nationwide access to broadband connectivity, digital identification systems, and e-government platforms. These interventions are expected to improve efficiency, reduce service delivery costs, and enhance access to education, health, and administrative services. Nonetheless, there is a risk that vulnerable and marginalized groups including rural populations, women, persons with disabilities, low-income households, and individuals with limited digital literacy may face barriers in accessing or benefiting from digital services. Increased reliance on digital platforms could unintentionally widen the digital divide if inclusion measures are not effectively implemented. To mitigate these risks, the project integrates targeted inclusion measures, including subsidized device schemes for low-income users, large-



scale digital literacy programs with gender and vulnerability targets, and proactive stakeholder engagement. The Stakeholder Engagement Plan (SEP) ensures ongoing consultation and accessible grievance redress mechanisms. Monitoring systems include disaggregated indicators to track participation and benefits among women and vulnerable groups, enabling adaptive management to address emerging gaps. Data protection and cybersecurity represent a distinct social risk. Expansion of digital ID systems and centralized e-service platforms involves processing large volumes of personal and biometric data, raising concerns regarding unauthorized access or misuse. Although a national Data Protection and Privacy framework is in place, institutional capacity strengthening remains important. The project applies a privacy-by-design approach, incorporating secure data storage, encryption, strong authentication protocols, and oversight mechanisms. Support for cybersecurity systems and institutional capacity-building enhances safeguards against data breaches and helps maintain public trust in digital services. Labor and working conditions present moderate risks associated with contracted workers, ICT installation, and training activities. Labor influx is expected to be minimal and largely local. The Borrower has adopted Labor Management Procedures (LMP) consistent with ESS2, addressing terms of employment, occupational health and safety, worker grievance mechanisms, and codes of conduct. Measures to prevent and respond to Sexual Exploitation and Abuse and Sexual Harassment (SEA/SH) are included, and the overall SEA/SH risk is assessed as moderate and manageable. Land acquisition impacts are expected to be minor and site-specific, limited to small parcels or rights-of-way for network equipment and connectivity infrastructure. A Resettlement Policy Framework (RPF) guides screening and mitigation of any land-related impacts in accordance with ESS5. No physical displacement has occurred under the parent project, and similar outcomes are expected under the AF. Given the limited scale of impacts and the mitigation measures in place (SEP, LMP, RPF, ESCP), social risks remain manageable. The Moderate Social Risk Rating remains appropriate for the AF.

B. Environment and Social Standards (ESS) that Apply to the Activities Being Considered

B.1 Relevance of Environmental and Social Standards

ESS1 - Assessment and Management of Environmental and Social Risks and Impacts

Relevant

For the AF, the project's moderate risk classification recognizes that activities—such as installing digital infrastructure, rolling out digital ID enrollment, and upgrading data systems—are comparatively low-impact but may still create localized environmental or social effects. To comply with ESS1, the borrower prepared and disclosed an Environmental and Social Management Framework (ESMF), alongside a Resettlement Policy Framework (RPF), Labor Management Procedures (LMP), and Stakeholder Engagement Plan (SEP). These frameworks are designed to ensure that potential risks are identified, assessed, and managed before subproject implementation. The ESMF sets out procedures for environmental and social screening, classification, and preparation of site-specific Environmental and Social Management Plans (ESMPs) where needed. It also mandates that any project activity receive clearance from relevant regulatory authorities and avoid sensitive ecological areas or culturally significant sites. The ESCP commits RISA to maintain an organizational structure with qualified staff responsible for E&S risk management and to implement the instruments throughout the project life.

ESS10 - Stakeholder Engagement and Information Disclosure

Relevant

Given the Rwanda Digital Acceleration Project's nationwide reach and its ambition to transform how citizens interact with government, meaningful stakeholder engagement is essential. The borrower developed and publicly disclosed a



Stakeholder Engagement Plan (SEP) and now updated for the AF, which identifies all relevant stakeholders—including government agencies (RISA, NIDA, BRD, RURA), telecom operators, civil society organisations, communities, and vulnerable groups and sets out strategies for engagement throughout the project lifecycle. The SEP outlines how the project will share information about digital services, conduct consultations (e.g., focus groups, surveys, community meetings), incorporate feedback into design (particularly from women, rural residents, and people with disabilities), and report back to stakeholders on progress and how their inputs have been used. The plan emphasises accessibility, ensuring information is available through multiple channels (websites, radio programs, printed materials, and local offices) and in user-friendly formats. The SEP also establishes a Grievance Redress Mechanism (GRM) that allows citizens and project-affected parties to submit complaints or inquiries via community focal points, phone lines, or digital platforms. The GRM includes procedures for receiving, recording, assessing, and resolving grievances in an equitable and timely manner. The PIU provides training on the SEP and GRM to contractors and field staff, ensuring they understand their responsibilities for stakeholder engagement and grievance management. Implementation of the SEP will be monitored and reported regularly, with adjustments made to ensure ongoing responsiveness. Through these measures, the project upholds transparency, accountability, and inclusive participation, fostering public trust in Rwanda's digital transformation.

ESS2 - Labor and Working Conditions

Relevant

Although the AF mainly funds digital activities, it still involves installation and service-provision work with some occupational risks (e.g., working at heights when mounting telecom equipment, electrical hazards, or repetitive stress injuries). To manage these risks, the borrower prepared Labor Management Procedures (LMP) that establish fair terms and conditions of employment, prohibit child and forced labour, and provide guidelines for occupational health and safety (OHS). The LMP also addresses potential labor influx issues and requires contractors to prepare Contractor's Environmental and Social Management Plans (C-ESMPs) that include OHS measures and training. All workers must sign Codes of Conduct that outline expectations for preventing sexual exploitation and abuse/sexual harassment (SEA/SH) and other misconduct. The ESCP stipulates that the project will set up and maintain a grievance redress mechanism (GRM) for workers and provide orientation on labour requirements, SEA/SH codes of conduct, and grievance procedures. These measures ensure that labour-related risks are addressed proactively and that workers' rights and safety are protected in line with ESS2.

ESS3 - Resource Efficiency and Pollution Prevention and Management

Relevant

Given the project's significant procurement of ICT hardware (smartphones, laptops, servers, routers) and installation of digital infrastructure, ESS3 is highly relevant. The main environmental concerns involve e-waste management. The ESCP specifies a requirement to establish and operationalize an agreement with Enviroserve, Rwanda's e-waste recycling facility, to ensure proper collection and recycling of project-generated e-waste across districts. Contractors must include resource-efficiency measures in their ESMPs, addressing waste minimization, noise and dust control during minor construction, and safe handling of any hazardous materials. Procurement documents include specifications for energy-efficient and eco-friendly hardware, and suppliers are required to implement take-back and recycling schemes. The ESMF requires screening subprojects for pollution risks and compliance with national regulations and WBG EHS Guidelines, helping to minimize and properly manage emissions from diesel generators (if used), fuel spills, and disposal of obsolete equipment. By integrating these measures, the project supports circular-economy principles and aligns with Rwanda's commitment to sustainable resource use.



ESS4 - Community Health and Safety

Relevant

ESS4 covers risks to communities resulting from project activities, ranging from civil works to public health and security. Although the AF's interventions (laying fibre-optic cables, installing base stations, running community digital training) are small-scale, they can create local disturbances such as traffic hazards around construction sites or community exposure to electromagnetic radiation from telecommunications equipment. The ESCP requires contractors to develop traffic and road safety management plans for each site where fiber optic installations or other works will take place. These plans must include signage, speed controls, and community awareness measures to prevent accidents. The project also implements Community Health and Safety Plans to address potential misconduct or gender-based violence (GBV)/SEA/SH risks, especially during training or during device distribution to vulnerable populations. The LMP and SEP include provisions for SEA/SH prevention, training workers and community facilitators on respectful behavior and instituting confidential reporting and referral mechanisms. Beyond physical safety, the project invests heavily in cybersecurity and data protection, upgrading the national Computer Emergency Response Team and supporting the implementation of Rwanda's Data Protection Law to safeguard citizens' digital privacy and maintain public trust in the digital services; this contributes indirectly to community safety.

ESS5 - Land Acquisition, Restrictions on Land Use and Involuntary Resettlement

Relevant

While the Digital Acceleration Project primarily uses government-owned land and existing facilities, ESS5 is flagged as relevant because certain activities—like installing telecommunications masts, equipment shelters, or fiber-optic cables—might require small parcels of land or temporary access to private property (e.g., trenches across fields or rights-of-way along roads). The project aims to avoid or minimise land acquisition; however, the borrower prepared a Resettlement Policy Framework (RPF) to address any unforeseen land-related impacts, ensuring compliance with ESS5. The RPF outlines procedures for screening subprojects for potential land or livelihood impacts, defines eligibility criteria, and provides guidance on compensation for any loss of land, assets or income, and methods of restoring livelihoods. If a subproject triggers land acquisition or restrictions, a specific Resettlement Action Plan (RAP) or Livelihood Restoration Plan will be prepared and implemented before proceeding. The project will ensure that any land use is negotiated on a voluntary basis with affected persons whenever possible, and that compensation is provided prior to displacement. The moderate environmental and social risk classification reflects confidence that, because of the limited footprint of the AF activities and the availability of existing sites, such land impacts, if any, will be minimal, site-specific and managed through established procedures.

ESS6 - Biodiversity Conservation and Sustainable Management of Living Natural Resources

Relevant

No large-scale or irreversible impacts on biodiversity are anticipated. Project works are small and mostly in already developed areas (urban centers, villages, road corridors). Nonetheless, ESS6 is considered relevant as a precaution: infrastructure roll-out will be screened to avoid natural habitats or ecologically sensitive areas. The ESMF includes measures to manage any minor impacts on vegetation or waterways during installation of connectivity infrastructure (e.g., proper waste disposal, habitat disturbance mitigation, and post-installation site restoration). The AF activities will not encroach on protected areas or critical ecosystems. In fact, by promoting digital solutions (like online services and data analytics), the project could indirectly support environmental management. The overall project ESMF will also include a screening mechanism allowing the project to avoid any sensitive ecological areas (including wetlands). It will also provide guidance for the development of sub-project ESMFs.



ESS7 - Indigenous Peoples/Sub-Saharan African Historically Underserved Traditional Local Communities

Not Currently Relevant

Not Relevant.

ESS8 - Cultural Heritage

Relevant

Project activities are unlikely to affect tangible or intangible cultural heritage. Nevertheless, chance find procedures have been integrated into the ESMF and will be included in all civil works contracts, in case any cultural artifacts or sites are discovered during excavation or installation works. If project interventions interface with known cultural heritage sites (e.g. historical buildings to be connected), the project will ensure measures to avoid damage working closely with local authorities and following national laws on heritage protection. ESS8 is tagged as relevant to confirm these precautions, although no significant impacts are expected.

ESS9 - Financial Intermediaries

Relevant

ESS9 applies because the project supports an FI – the Development Bank of Rwanda (BRD) – which manages a financing facility for affordable smartphones (consumer device loans and subsidies). The AF's the Device Access Fund will be channeled through BRD to extend guarantees to partner lenders (e.g., microfinance institutions) for smartphone loans. BRD is required to operate this facility in line with ESS9: it will maintain an Environmental and Social Management System (ESMS) proportional to the low risks of these subprojects, including screening procedures to exclude high-risk activities (the device loans are expected to finance only purchase of certified smartphones and related services, which have minimal E&S impact). BRD has prior experience with World Bank projects, and the PIU's E&S specialists will support and monitor the FI to ensure compliance with the project's E&S requirements. ESS9 is thus relevant to ensure that the FI's activities (and any downstream partners) adhere to the ESF principles, particularly around labor practices, community safety in device distribution, and e-waste management when devices reach end-of-life.

Public Disclosure

B.2 Legal Operational Policies that Apply

OP 7.50 Operations on International Waterways

No

OP 7.60 Operations in Disputed Areas

No

B.3 Other Salient Features

Use of Borrower Framework

No

N/A

Use of Common Approach

No

Not applicable



C. Overview of Required Environmental and Social Risk Management Activities

C.1 What Borrower environmental and social analyses, instruments, plans and/or frameworks are planned or required by implementation?

The borrower has prepared and disclosed a set of environmental and social instruments under the parent project, which remain applicable to the Additional Financing, some with an update. These include:

- **Environmental and Social Management Framework (ESMF):** Prepared and disclosed in October 2021; which provides procedures for screening, assessing, and mitigating environmental and social risks associated with subprojects. The ESMF will continue to guide the preparation of site-specific Environmental and Social Management Plans (ESMPs) where required.
- **Resettlement Policy Framework (RPF):** Prepared and disclosed in June 2021; remains applicable to the AF, with no major changes anticipated; RAPs will be prepared if required. The RPF outlines the principles and procedures for addressing any potential land acquisition or resettlement impacts. Although no significant land acquisition is anticipated, the RPF ensures readiness to manage any unforeseen impacts in compliance with ESS5.
- **Labor Management Procedures (LMP):** Prepared and disclosed in June 2021; remains valid for the AF, which define measures to ensure fair labor practices, occupational health and safety, and grievance redress mechanisms for project workers. The LMP includes provisions for preventing child labor, forced labor, and sexual exploitation and abuse/harassment (SEA/SH).
- **Stakeholder Engagement Plan (SEP):** Prepared and disclosed in June 2021; currently being updated for the AF and will be re-disclosed prior to implementation. The SEP details strategies for inclusive stakeholder consultation, information disclosure, and grievance redress. The SEP is being updated to reflect the scope of the AF and to ensure continued engagement with vulnerable and marginalized groups.
- **Environmental and Social Commitment Plan (ESCP):** Agreed and disclosed in June 2021; will be updated at AF appraisal and re-disclosed as part of the AF legal documentation. The ESCP consolidates the borrower's commitments to implement the above instruments and outlines timelines and responsibilities for compliance with the ESF.

The Rwanda Information Society Authority (RISA), through its Single Project Implementation Unit (SPIU), is responsible for coordinating the implementation of these instruments, with support from the Development Bank of Rwanda (BRD) and the National Identification Agency (NIDA). The SPIU has dedicated environmental and social specialists in place and has demonstrated satisfactory performance in managing environmental and social risks under the parent project.

III. CONTACT POINT

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V. APPROVAL

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